



Time: 5 minutes

Outcome: Analyze Collusion, Cartels & Prisoner's-Dilemma Incentives.

Difficulty: Intermediate

Collusion, Cartels & Prisoner's-Dilemma Incentives

THE CORE IDEA

A cartel coordinates firms to restrict industry output and raise price as a monopolist would. Individual incentives can push both firms toward a lower-payoff noncooperative outcome. The conflict is between individual and collective incentives. A prisoner's dilemma exists precisely because individual incentives can undermine a jointly better outcome.

HOW TO RECOGNIZE IT

- Individual incentives can push both firms toward a lower-payoff noncooperative outcome.
- The conflict is between individual and collective incentives.
- A prisoner's dilemma exists precisely because individual incentives can undermine a jointly better outcome.
- Three firms agree to keep prices high.

WATCH OUT

Do not miss individual incentive to defect. The conflict is between individual and collective incentives. Private incentives can conflict with the cartel's collective restriction.

WORKED EXAMPLE: INDIVIDUAL INCENTIVES VERSUS JOINT GAINS

Payoffs: (Row firm, Column firm)

	Keep agreement	Undercut
Keep agreement	(6, 6)	(2, 8)
Undercut	(8, 2)	(3, 3)

If Column keeps the agreement, Row gets 8 by undercutting rather than 6 by keeping it. If Column undercuts, Row gets 3 rather than 2 by undercutting. Column faces the same incentives. Both undercut and receive 3 each, although keeping the agreement would give 6 each. Individual incentives can undermine a mutually beneficial agreement.

CHECK YOURSELF

If the other firm keeps the agreement, why is a one-time promise to keep it vulnerable to undercutting?